

- B. 1.11 percent.
 - C. 1.85 percent.
11. The current exchange rate between the euro and US dollar is USD/EUR1.025. Risk-free interest rates for one year are 0.75 percent for the euro and 3.25 percent for the US dollar. The one-year USD/EUR forward rate that *best* prevents arbitrage opportunities is:
- A. USD/EUR1.051.
 - B. USD/EUR1.025.
 - C. USD/EUR0.975.
12. A stock currently trades at USD25. In one year, it will either increase in value to USD35 or decrease to USD15. An investor sells a call option on the stock, granting the buyer the right, but not the obligation, to buy the stock at USD25 in one year. At the same time, the investor buys 0.5 units of the stock. Which of the following statements about the value of the investor's portfolio at the end of one year is correct?
- A. The portfolio has a value of USD7.50 in both scenarios.
 - B. The portfolio has a value of USD25 in both scenarios.
 - C. The portfolio has a value of USD17.50 if the stock goes up and USD7.50 if the stock goes down.